WeBox CEO's Letter of Q4, 2025

WeBox

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To our valued shareholders and WeBox team,

Overall, Q3 was another fantastic quarter. Thank you for your continued support throughout this journey. I hope you find these updates helpful. As always, feel free to reach out at any time for a conversation.

Fred Ming

CEO, WeBox Inc

Executive Summary

- **Revenue**

Q3 Total Revenue: WeBox achieved total revenue of $6.66M [Forecast: $6.56M]. This marks an 18.29% QoQ growth from $5.63M in Q2 2025 and represent a 90.83% YoY increase from $3.46M in Q3 2024.

YTD Total Revenue: $17M.

- **Gross Margin**

Q3 Gross Margin: Gross margin was 28.47% [Forecast: 28.65%], down 0.06% QoQ from 30.17% in Q2 2025, and down 0.01% YoY from 28.86% in Q3 2024. [We adopted a slightly more aggressive pricing strategy to attract new customers.]

- **Net Profit**

Q3 Net Profit: –$332K [Forecast: $20K], driven by higher costs from:

- Legal (+70K vs Q2)

- Payroll (+207K vs Q2)
- upgrading our San Carlos and SF locations (+88K vs Q2)
- Fraud (+49K)
- **Fremont Kitchen**

Signed 18 agreements and only 3 workstations are available.

Highlights of Business

- **WeBox Mart**

Quarterly revenue reached nearly $400K, with Q3 totaling $389,771 — a 38% increase compared to Q2’ s $282,384. We also expanded our product offerings with ready-to-eat meals, which significantly improved our gross margin.

- **Sunnyvale hub is open**

The Sunnyvale hub opened in September, helping resolve late delivery issues in the Palo Alto and Mountain View areas. It also redistributes part of the revenue from the San Jose hub, allowing San Jose to handle more orders within its local area.

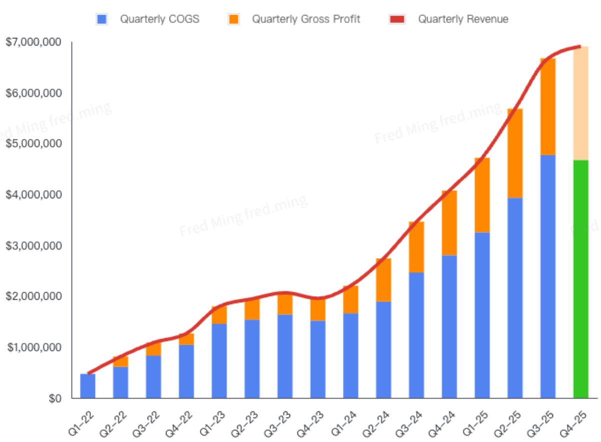
- **R&D reorganized under three product owners**

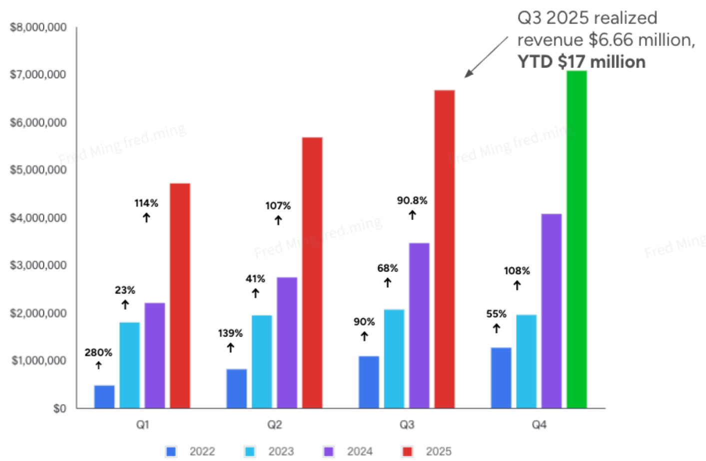
This restructuring improves iteration velocity, enhances customer proximity, and minimizes reliance on any single product owner.

Financial Overview

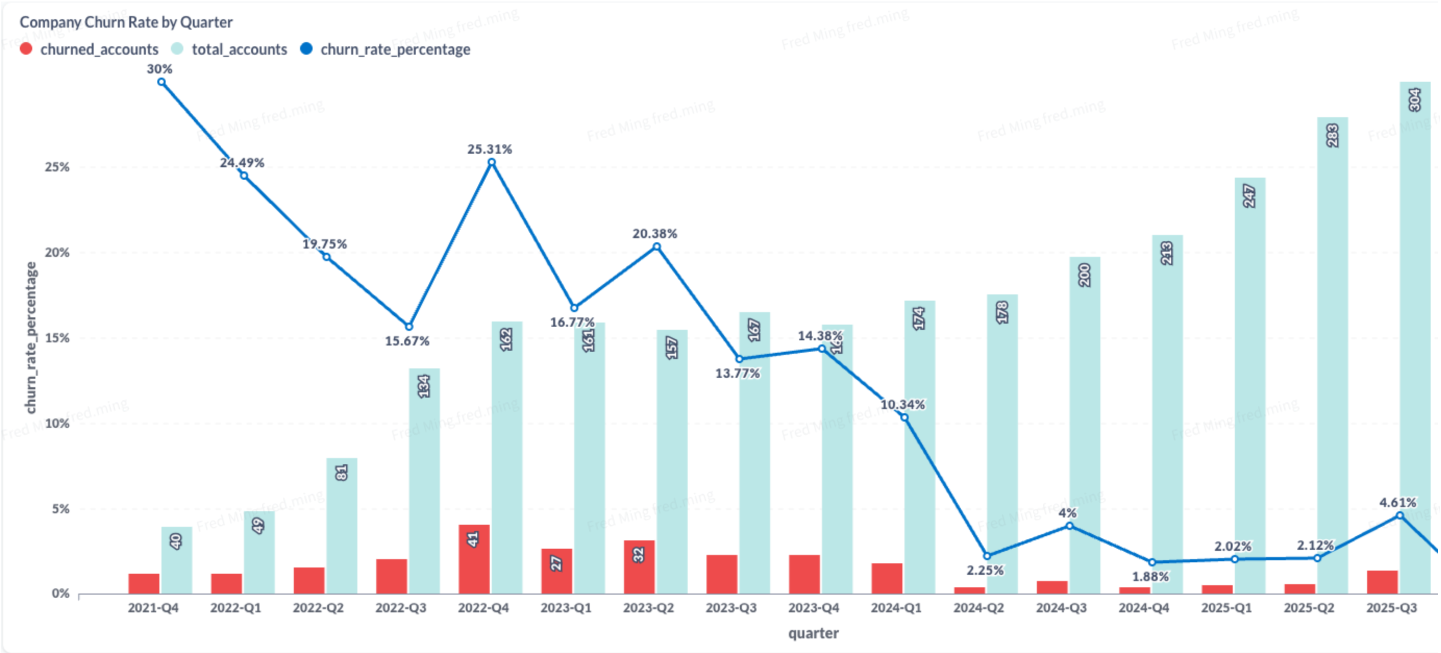
Q3

- **Revenue and Gross Margin**





- **Churn Rate**



Q4 Goals

- **Revenue**

$6.3M (-5% QoQ Growth)　(Holiday season)

- **Gross Margin**

30%

- **Net Profit**

$20K

Functional Review

Sales

- **Big Deals**

Lightmatter, Google Fiber, Digicert, Wisk Aero, Maze Therapeutics, Fundamental Research Labs, Next Insurance

Business Development

- **Group Catering Revenue**

Q3 total: $80,303 (34% increase vs. Q2: $59,790)

Strong momentum throughout the quarter: July: $14,383; August: $32,133; September: $33,787

- **Office Pantry Revenue**

Q3 total: $36,632 (210% increase vs. Q2: $11,797)

Marketplace

- **WeBox Mart Revenue**

Q3 total: $389,771 (38% increase vs. Q2: $282,384)

Expanded product offerings with ready-to-eat meals including:

Salads, sandwiches, wraps, spaghetti, rice bowls, grain bowls, pizza slices, and burritos

Key insight: Over 40% of last-minute orders (after 8 AM cutoff) are fulfilled through WeBox Mart items, demonstrating the value of on-demand inventory

Product & Engineering

- Rating and review
- Brand page
- Company's analysis dashboard
- Driver Ranking

Operations

- Sunnyvale hub is open
- Fremont Kitchen has signed 18 workstations and only 3 left

Team

94(United States - SF Bay Area: 34, China - Shanghai and Wuhan:33; Philippines: 27)

Increased 3 team members in total compared with Q2

Quarterly Books Recommendation

- Atomic Habits

https://www.amazon.com/Atomic-Habits-Proven-Build-Break/dp/0735211299